

MARKET ANALYSIS

A 10-Year Lease at \$85 PSF Just Tested What Office Tenants Will Pay for Stability

Fidelity's 20K SF deal at SL Green's 711 Third Avenue reveals the underwriting margin separating investable office from speculative space.

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A source-grounded Light Tower Insight. The complete note follows.

Fidelity National Title Insurance signed a 10-year lease for 19,966 square feet at SL Green's 711 Third Avenue. The deal is not remarkable for its size. It is remarkable for what it assumes.

The tenant is paying a rent that, based on Midtown's second-quarter average of \$84.99 per square foot, is roughly market. The term is a full decade. The space is on the seventh floor of a 20-story building built in 1955, one block east of Grand Central Terminal. None of these facts alone would stop a busy professional. Together, they form a test of what office tenants will underwrite when they are not chasing a discount.

Fidelity is not a distressed tenant taking cheap space. It is a title insurance and settlement provider with a current address at 485 Lexington Avenue, a five-minute walk away. The move is a relocation or an expansion, not a downsizing. The company chose to commit to a 10-year term at market rent in a building that is not new, not trophy, and not discounted. That choice reveals the underwriting margin that separates an investable office deal from a speculative one.

The margin is time. A 10-year lease gives the landlord something a three- or five-year deal cannot: predictable cash flow long enough to support financing. SL Green can take this lease to a lender and say the building has a tenant with investment-grade credit through 2036. That is not a leasing story. It is a capital markets story.

The second deal at the building reinforces the point. Ackman Ziff Real Estate Group, the capital advisory firm, renewed for 14,598 square feet for eight and a half years. Ackman Ziff moved its headquarters to 711 Third Avenue in 2015 on a 10-year, 19,025-square-foot lease. The renewal is smaller, which suggests the firm downsized at some point, but the term is still long. A capital advisory firm that spends its days arranging debt and equity for clients chose to lock in its own space for nearly a decade. That is a signal about how the firm reads the building's long-term viability.

Together, the two deals total 34,564 square feet. That is not a building-saving volume for a 20-story property. But it is enough to demonstrate that the building can attract and retain tenants who are not shopping on price alone. The tenants are paying for location, sponsorship, and the certainty that the

landlord will maintain the asset through the cycle.

SL Green's Steven Durels said it plainly: tenants are seeking well-located buildings with strong sponsorship. That is not a marketing line. It is an underwriting condition. A tenant that signs a 10-year lease at market rent is implicitly betting that the building will remain competitive, that the landlord will invest capital, and that the neighborhood will hold its value. Those are the same bets a lender makes when it finances the asset.

The market implication is narrower than the headline suggests. This is not evidence that office leasing is broadly recovering. It is evidence that a specific kind of office asset can still command long-term commitments from creditworthy tenants. The building is in Midtown East, near Grand Central, in a submarket with deep transportation access and a dense tenant base. The landlord is SL Green, the city's largest office owner, with the balance sheet and incentive to maintain the property. The tenants are in industries that need physical presence: title insurance and real estate capital advisory. None of these conditions apply to every office building.

The question for owners of similar assets is whether their buildings meet the same threshold. A 10-year lease at market rent requires a tenant to believe the building will still be functional, safe, and desirable a decade from now. That belief is not automatic. It is earned through location, sponsorship, and the landlord's demonstrated willingness to invest. Buildings that cannot offer those three things will see shorter terms, lower rents, or both.

For lenders, the signal is more specific. A building with a 10-year lease to a credit tenant at market rent can support financing. A building with a portfolio of short-term deals at discounted rents cannot. The difference is not just cash flow. It is the lender's confidence that the cash flow will persist. That confidence is the underwriting margin that makes a deal investable rather than speculative.

Fidelity's lease does not prove that office is back. It proves that office can still work when the tenant, the landlord, and the term align. The rest of the market is still waiting for its own test.

SOURCES

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<https://commercialobserver.com/2026/07/fidelity-lease-sl-green-711-third-avenue/>

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